

Multiple Choice

1. **Answer:** D

Options: A) Excess profits due to lack of competition.; B) Firms produce identical products.; C) High degree of interdependence among firms.; D) Zero economic profits.; E) Large number of buyers and one seller.

Note: Correct option: D - Zero economic profits.

2. **Answer:** A

Options: A) Business expectations can affect the economy by affecting the level of investment.; B) Business expectations mold the economy through fluctuations in commodity prices.; C) Business expectations have no impact on the economy.; D) Business expectations steer the economy by directly setting interest rates.; E) Business expectations influence the economy through government policy changes.

Note: Correct option: A - Business expectations can affect the economy by affecting the level of investment.

3. **Answer:** A

Options: A) A decrease in the price of orange juice; B) A decrease in the price of Tang; C) An increase in the price of grapefruit juice; D) A decrease in the income of juice drinkers; E) A bumper crop of oranges in Florida

Note: Correct option: A - A decrease in the price of orange juice

4. **Answer:** A

Options: A) the real quantity of money increases; B) imports become relatively more expensive; C) the value of cash increases; D) exports become relatively cheaper; E) inflation rate decreases

Note: Correct option: A - the real quantity of money increases

5. **Answer:** B

Options: A) Investment and Consumption; B) Transactions Demand and Asset Demand; C) Income and Expenditure; D) Savings and Interest Rates; E) Credit and Debit

Note: Correct option: B - Transactions Demand and Asset Demand

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'A price ceiling will have no effect on the quantity of the good supplied.'

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'supply falls, increasing the price and increasing the quantity.'
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'the stock market experiences a downturn.'
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Intra-business and intra-household transactions'

Long Form Response

11. **Answer:** Bankowners and the United States Treasury gain from anticipated inflation. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** They use a different method of transforming the model so that the probabilities lie between zero and one. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key